
Federal Reserve

Jay Powell warns that taming US inflation will cause ‘some pain’

Risk of triggering recession may depend on factors outside Federal Reserve’s control, warns chair



‘The question whether we can execute a soft landing or not, it may actually depend on factors that we don’t control,’ Powell said on Thursday © Jonathan Ernst/Pool/AFP/Getty

Colby Smith in Washington

Published MAY 12 2022 | Updated MAY 12 2022, 18:06

Federal Reserve chair Jay Powell has warned bringing inflation down to the US central bank’s target of 2 per cent will cause “some pain”, adding that tackling high prices without causing a recession may depend on factors outside of its control.

The remarks from Powell, which constitute some of his most bearish comments to date, come amid significant uncertainty about the economic outlook as the Fed begins what is likely to be the fastest tightening of monetary policy in years.

The central bank has [raised rates](#) by 0.75 percentage points from the near-zero levels that had been in place since the early days of the coronavirus pandemic, having implemented a half-point rate rise just last week.

The moves are part of its plans to “expeditiously” shift policy to a neutral setting that no longer stimulates demand. The central bank will also begin shrinking its \$9tn balance sheet next month.

In an [interview](#) with Marketplace on Thursday, Powell reiterated the Fed’s commitment to bringing down inflation and underscored the challenge of doing so without triggering job losses and a possible recession.

“The process of getting inflation down to 2 per cent will also include some pain, but ultimately the most painful thing would be if we were to fail to deal with it and inflation were to get entrenched in the economy at high levels,” he said.

“The question whether we can execute a soft landing or not, it may actually depend on factors that we don’t control,” Powell added. “But we should control the controllable . . . there’s a job to do on demand.”

The Fed is expected to introduce at least two more half-point rate rises in June and July, and to maintain that pace at its meeting in September. After that point, it is expected to moderate back to quarter-point increases. By the end of the year, traders estimate the benchmark policy rate will rise to about 2.7 per cent.

Powell sought to clarify the Fed’s willingness to raise rates by 0.75 percentage points at some point, having said last week during a press conference that the central bank is “not actively considering” that.

“If things come in better than we expect, then we’re prepared to do less,” he said. “If they come in worse than when we expect, then we’re prepared to do more.”

Powell’s comments were published just hours after the US Senate voted overwhelmingly in favour to confirm him for a second term as chair, capping off a series of historic votes that have reshaped the top tier of the central bank.

Powell — who was elevated to Fed chair by Donald Trump in 2017 after serving as a governor from 2012, and once worked as a top Treasury official under George HW Bush — received 80 votes in support, while 19 senators voted against him.

Lisa Cook, a professor of economics and international relations at Michigan State University, and Philip Jefferson, a professor of economics at Davidson College, were also [confirmed](#) by the Senate this week to fill two vacancies on the Board of Governors.

Powell on Thursday also defended the Fed's actions to date, but acknowledged an earlier start would have been more appropriate.

“It probably would have been better for us to have raised rates a little sooner,” he said. “I’m not sure how much difference it would have made, but we have to make decisions in real time, based on what we know then, and we did the best we could.”

[Copyright](#) The Financial Times Limited 2026. All rights reserved.

Follow the topics in this article

US economy

US politics & policy

Central banks

Federal Reserve

Jerome H. Powell